

# ASA Traders: Business Diagnostic & Financial Turnaround

Green Cardamom Wholesale Supply Chain, Financial Structuring & Operational Optimization

|                              |                          |                             |                             |
|------------------------------|--------------------------|-----------------------------|-----------------------------|
| CLIENT NAME                  | PRIMARY SOURCING HUB     | TARGET MARKETS              | MONTHLY TRADE VOLUME        |
| ASA Traders (Proprietorship) | Kumily (Idukki District) | Calicut, Kannur, Thalassery | 1,500 – 2,000 kg (3–4 Runs) |

## 1. EXECUTIVE SUMMARY & DIAGNOSTIC ASSESSMENT

ASA Traders operates as an interstate/inter-district spice arbitrageur, procuring green cardamom from Kumily and distributing wholesale lots to commodity buyers in North Kerala. While the enterprise handles a high volume of ₹50,00,000 to ₹65,00,000 in monthly turnover, severe accounting opacity exists. Operations are managed entirely on physical notebooks and informal memory, blinding management to hidden cost leaks, adverse yield realization, and an unsustainable working capital turnaround clock.

## 2. CARDAMOM GRADE CLASSIFICATIONS IN TRADE

| GRADE IDENTIFIER    | COMMERCIAL CHARACTERISTICS & POD SPECIFICATIONS                   | MARKET DEMAND & REALIZATION TIER              |
|---------------------|-------------------------------------------------------------------|-----------------------------------------------|
| 8mm+ (Super Bold)   | Highest diameter pod, uniform vibrant green, premium density.     | Tier 1: Maximum premium wholesale spread      |
| 7.5 – 8mm / 7.5+    | Bold market grade with high commercial liquidity in North Kerala. | Tier 2: Strong consistent volume demand       |
| 7 – 8mm             | Industry benchmark standard wholesale grade.                      | Tier 3: Core volume driver (+ ₹200/kg spread) |
| 7 – 7.5mm / 6 – 7mm | Medium to small pods; price-sensitive wholesale lots.             | Tier 4: Moderate spread (+₹150/kg)            |
| Rejection & Pan     | Damaged, split, discolored, empty husks, and seed shells.         | Tier 5: Distressed liquidation / Capital loss |

## 3. PROCUREMENT CHANNELS EVALUATION

| PROCUREMENT CHANNEL | TYPICAL LOT FORMAT              | OPERATIONAL FRICTION                     | CONSULTANT VIABILITY RATING    |
|---------------------|---------------------------------|------------------------------------------|--------------------------------|
| Direct Farmers      | Mixed Bulk Lots (Rarely graded) | High (Requires sorting & grading)        | High Risk / Value Drag         |
| Wholesale Traders   | Pre-Graded (8mm, 7-8mm, etc.)   | Low (Direct pass-through fulfillment)    | Highly Recommended             |
| Formal Auctions     | Mixed or Graded as offered      | Medium (Bidding fee, cess, lot variance) | Conditional on strict bid caps |

## 4. SOURCING MODELS COMPARISON: BULK MIXED VS. PRE-GRADED

The primary profit leakage stems from purchasing mixed bulk lots. While ₹3,200/kg appears cheaper than purchasing pre-graded 8mm at ₹3,450/kg, the real yield of a bulk bag dilutes weighted sales realization, causing an immediate direct loss.

### CRITICAL FINDING: THE MIXED BULK MARGIN TRAP

When ASA Traders purchases mixed lots at a flat rate of ₹3,200/kg, 80% of the volume (7-8mm, 6-7mm, and rejection) sells below the procurement cost. This incurs an automatic weighted loss of -₹85.00/kg, worsening to -₹100.60/kg after sorting and grading labor.

| MODEL A: BULK MIXED LOT (500 KG BATCH @ FLAT ₹3,200/KG PROCUREMENT)   |         |        |                    |               |                        |
|-----------------------------------------------------------------------|---------|--------|--------------------|---------------|------------------------|
| GRADE YIELD                                                           | % SHARE | WEIGHT | COST/KG            | SELLING PRICE | NET MARGIN IMPACT      |
| 8mm+                                                                  | 20%     | 100 kg | ₹3,200             | ₹3,400        | +₹20,000 (+₹200/kg)    |
| 7 – 8mm                                                               | 50%     | 250 kg | ₹3,200             | ₹3,100        | -₹25,000 (-₹100/kg)    |
| 6 – 7mm                                                               | 30%     | 150 kg | ₹3,200             | ₹2,950        | -₹37,500 (-₹250/kg)    |
| Gross Trading Realization (Weighted Avg: ₹3,115/kg)                   |         |        | Net Material Loss: |               | -₹42,500 (-₹85.00/kg)  |
| Sorting (₹10/kg) + Grading (₹5/kg) + Loting (₹0.60/kg) Labor Overhead |         |        |                    |               | -₹7,800 (-₹15.60/kg)   |
| Total Sourcing & Processing Loss on 500 kg Batch:                     |         |        |                    |               | -₹50,300 (-₹100.60/kg) |

| MODEL B: PRE-GRADED PROCUREMENT (500 KG BATCH - ZERO SORTING LABOR) |                   |        |                       |            |                        |
|---------------------------------------------------------------------|-------------------|--------|-----------------------|------------|------------------------|
| GRADE SOURCED                                                       | DEMAND MIX        | WEIGHT | PURCHASE/KG           | SELLING/KG | GROSS SPREAD EARNED    |
| 8mm+                                                                | High-End Tier     | 100 kg | ₹3,450                | ₹3,600     | +₹15,000 (+₹150/kg)    |
| 7 – 8mm                                                             | Core Wholesale    | 250 kg | ₹3,100                | ₹3,300     | +₹50,000 (+₹200/kg)    |
| 6 – 7mm                                                             | Economy Wholesale | 150 kg | ₹2,800                | ₹2,950     | +₹22,500 (+₹150/kg)    |
| Total 500 kg Pre-Graded Consignment                                 |                   |        | Blended Gross Spread: |            | +₹87,500 (+₹175.00/kg) |

\*Note: Sourcing pre-graded lots captures a positive arbitrage spread on 100% of traded stock while completely avoiding the ₹15.60/kg sorting and grading expense.

## 5. MASTER LOGISTICS & EXPENSE ARCHITECTURE

Supply chain costs are incurred across a four-leg transit network from Kumily to North Kerala wholesale markets. Consignment batch sizing is vital: logistics expenses are largely fixed per trip, making 500 kg batches cost-effective while smaller batches erode margins.

| EXPENSE LINE ITEM                                  | OPERATIONAL PARAMETER / BASIS                 | COST (500 KG RUN) | COST / KG IMPACT |
|----------------------------------------------------|-----------------------------------------------|-------------------|------------------|
| Freight: Kumily to Mundakayam                      | Flat vehicle charge (1 to 500 bags)           | ₹1,750            | ₹3.50 / kg       |
| Freight: Mundakayam to Kozhikode                   | Inter-hub linehaul transshipment              | ₹300              | ₹0.60 / kg       |
| Last-Mile: Hub to Home Storage                     | Commercial cargo vehicle delivery             | ₹800              | ₹1.60 / kg       |
| Owner Procurement TA & Stay                        | Train/bus transit, stay (₹1,300), food (₹700) | ₹2,250            | ₹4.50 / kg       |
| Regional Distribution Fuel (Petrol)                | Calicut, Kannur, Thalassery market runs       | ₹5,500            | ₹11.00 / kg      |
| Packaging Sacks (25 kg standard)                   | 20 specialized bags @ ₹45 / bag               | ₹900              | ₹1.80 / kg       |
| Loading & Unloading Labor                          | 10 eq. 50kg units @ ₹60 (₹30 in + ₹30 out)    | ₹600              | ₹1.20 / kg       |
| Total Direct Logistics & Handling (Per 500 kg Run) |                                               | ₹12,100           | ₹24.20 / kg      |

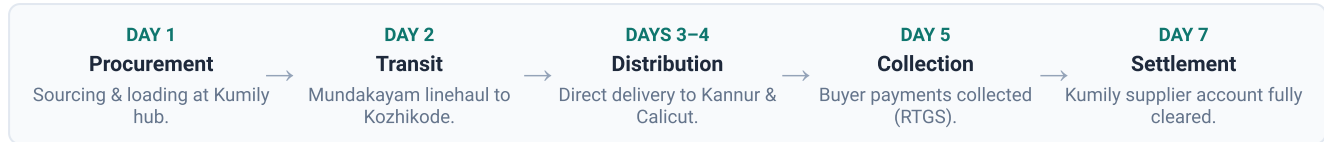
## 6. CONSOLIDATED MONTHLY P&L PROJECTION (2,000 KG VOLUME)

|                                                                              |                                                                               |                                                                                   |
|------------------------------------------------------------------------------|-------------------------------------------------------------------------------|-----------------------------------------------------------------------------------|
| <b>MONTHLY TURNOVER</b><br><b>₹66,00,000</b><br>2,000 kg traded @ ₹3,300 avg | <b>GROSS TRADING PROFIT</b><br><b>₹3,50,000</b><br>Avg. +₹175/kg gross spread | <b>NET OPERATING PROFIT</b><br><b>₹2,88,184</b><br>₹144.09 / kg net profit margin |
|------------------------------------------------------------------------------|-------------------------------------------------------------------------------|-----------------------------------------------------------------------------------|

| P&L FINANCIAL COMPONENT                            | OPERATIONAL DERIVATION                             | MONTHLY AMOUNT    |
|----------------------------------------------------|----------------------------------------------------|-------------------|
| Gross Trading Arbitrage Spread                     | 4 trade runs of 500 kg @ +₹87,500 profit per run   | <b>+₹3,50,000</b> |
| Direct Route Transit & Sourcing Travel             | 4 consignments × ₹5,100 (Freight & Travel TA)      | -₹20,400          |
| Wholesale Distribution Delivery Fuel               | 4 consignments × ₹5,500 petrol allowance           | -₹22,000          |
| Packaging Sacks & Labor Handling                   | 4 consignments × ₹1,500 (Bags + Loading/Unloading) | -₹6,000           |
| Storage Room Rent Overhead                         | Monthly warehouse/storage room cost                | -₹6,500           |
| GST Compliance & Bookkeeping Retainer              | Monthly accounting & return filing                 | -₹4,000           |
| Income Tax & Statutory Audit Provision             | Annual audit fee (₹35,000 / 12 amortized)          | -₹2,916           |
| <b>ESTIMATED NET MONTHLY CASH OPERATING PROFIT</b> |                                                    | <b>+₹2,88,184</b> |

## 7. WORKING CAPITAL & THE 7-DAY LIQUIDITY CLOCK

Suppliers in Kumily extend a strict 7-day credit window. At 500 kg per consignment, ASA Traders carries **₹15.5 to ₹17.0 Lakhs** in trade payables per cycle. Complete operational execution must occur within 168 hours to prevent capital default.



### LIQUIDITY WARNING: STRICT CREDIT DISCIPLINE REQUIRED

Allowing wholesale buyers to take 7 to 10 days of rolling credit creates an immediate solvency crisis. The buyer credit terms must be standardized to a strict maximum of 48 hours post-delivery.

## 8. STRATEGIC ACTION PLAN & IMPLEMENTATION ROADMAP

### Step 1: Terminate Mixed Bulk Procurement

IMMEDIATE MANDATE

Stop purchasing unsorted farmer/auction bulk lots at flat pricing. Procure exclusively pre-graded lots (8mm, 7-8mm, 6-7mm) from trusted trade partners, ensuring every kilogram carries an intentional positive gross spread.

### Step 2: Maintain a Strict 500 kg Minimum Batch Size

COST POLICY

Never initiate physical sourcing runs or hire cargo transport for micro-batches. Consolidate demand across North Kerala buyers to ensure every run moves at least 400–500 kg, capping logistics at ₹24.20/kg.

### Step 3: Deploy Mobile Digital Accounting (Vyapar / Zoho)

WEEK 1 EXECUTION

Migrate completely from paper handbooks to a mobile ERP/accounting application. Tag each 500 kg batch with a unique Consignment ID to track exact landed cost, freight, fuel, and buyer payment clearance in real time.

### Step 4: Formalize 48-Hour Buyer Payment Terms

POLICY ENFORCEMENT

Contractually limit wholesale buyer credit to 48 hours. Dispatch no subsequent shipments to buyers with outstanding payments, guaranteeing liquidity is safely returned to Kumily suppliers by Day 7.